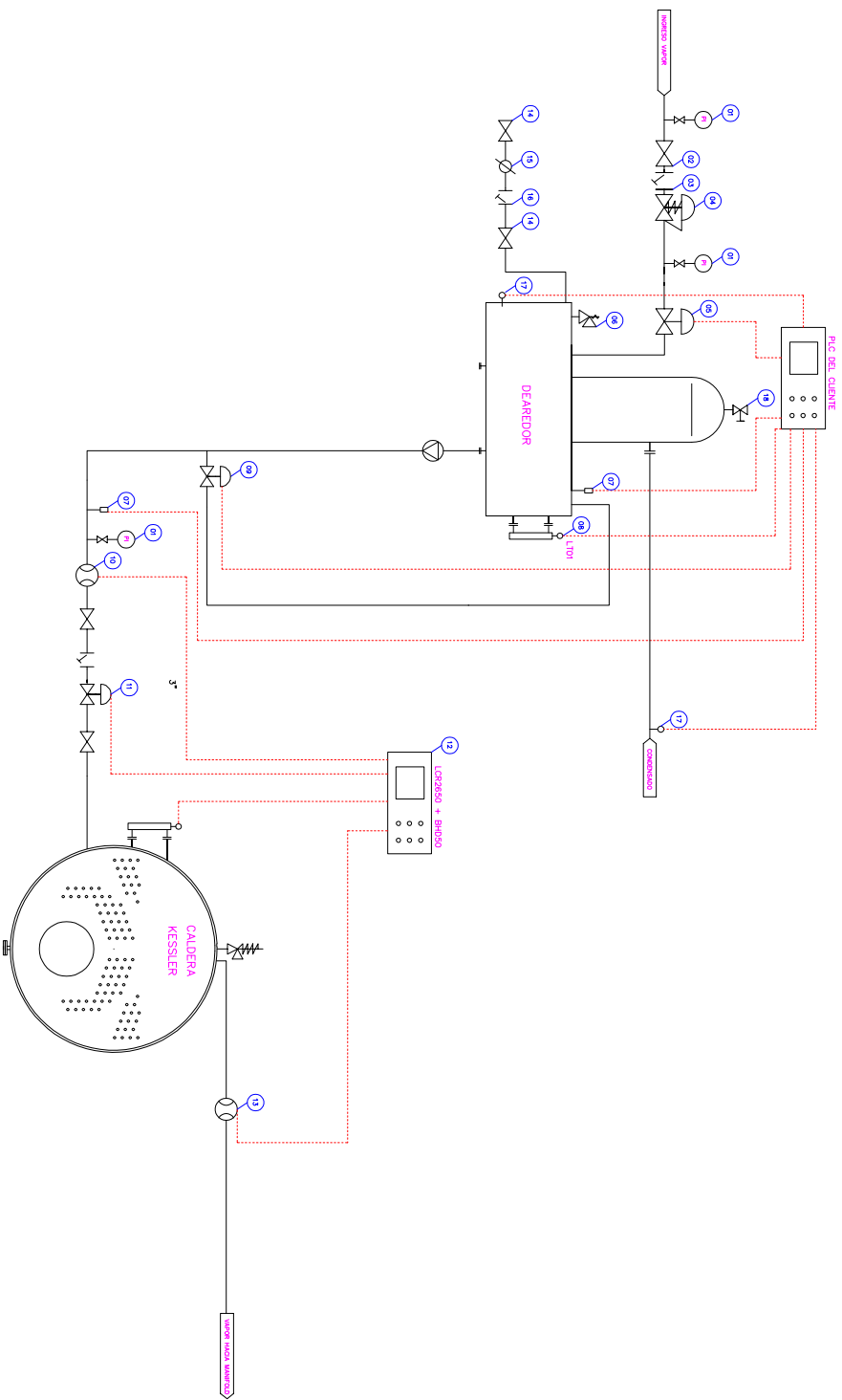


[illegible]

| Sl. No. | Question                                                                                            | Answer                                                                                                                                                                                                                                                                                                                                  |
|---------|-----------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| 10      | 1. How does the rate of interest affect the demand for money? (10 marks)                            | As the rate of interest increases, the demand for money decreases. This is because a higher rate of interest makes holding money less attractive, leading to a decrease in the quantity of money demanded.                                                                                                                              |
| 11      | 2. Explain the concept of 'Money Multiplier' and its significance in the banking system. (10 marks) | The Money Multiplier is a measure of the change in the money supply that results from a unit change in the monetary base. It is calculated as the reciprocal of the reserve ratio. Its significance lies in its ability to amplify the initial injection of funds into the banking system, thereby increasing the overall money supply. |
| 12      | 3. Discuss the factors that influence the demand for money. (10 marks)                              | The demand for money is influenced by several factors, including the level of income, the rate of interest, the level of technology, and the level of uncertainty. Higher income levels generally lead to a higher demand for money, while higher interest rates lead to a lower demand.                                                |
| 13      | 4. What is the relationship between the demand for money and the interest rate? (10 marks)          | There is an inverse relationship between the demand for money and the interest rate. As the interest rate increases, the demand for money decreases, and vice versa.                                                                                                                                                                    |

|          |        |                                                                                                                                        |             |                                       |                                                                                     |  |  |  |
|----------|--------|----------------------------------------------------------------------------------------------------------------------------------------|-------------|---------------------------------------|-------------------------------------------------------------------------------------|--|--|--|
|          |        |                                                                                                                                        | RESPONSABLE | FECHA                                 |  |  |  |  |
|          |        |                                                                                                                                        | CLAB.       | EOD                                   | 06/06/2024                                                                          |  |  |  |
|          |        |                                                                                                                                        | VERIF.      | EOD                                   | 06/06/2024                                                                          |  |  |  |
|          |        |                                                                                                                                        | APROV.      | EOD                                   | 06/06/2024                                                                          |  |  |  |
|          |        |                                                                                                                                        | MATERIAL    |                                       |                                                                                     |  |  |  |
|          |        |                                                                                                                                        |             | EO                                    | Lima                                                                                |  |  |  |
|          |        |                                                                                                                                        |             | S/E                                   | Escuela - Perú                                                                      |  |  |  |
|          |        |                                                                                                                                        |             | CUB. STOCK                            | A1                                                                                  |  |  |  |
|          |        |                                                                                                                                        | DESCRIPCIÓN | DES. DIRIG. REV.                      |                                                                                     |  |  |  |
|          |        |                                                                                                                                        |             | SISTEMA DE ALIMENTACION AUSTRAL GROUP |                                                                                     |  |  |  |
|          |        |                                                                                                                                        |             | TANQUE DESMAYADOR                     |                                                                                     |  |  |  |
|          |        |                                                                                                                                        |             | AGUA CALDERA 200 BHP                  |                                                                                     |  |  |  |
|          |        |                                                                                                                                        |             | REV. N°                               |                                                                                     |  |  |  |
|          |        |                                                                                                                                        |             | DES-5101-2406-04-001_00               |                                                                                     |  |  |  |
| REV      | CT     |                                                                                                                                        | DATTA       |                                       |                                                                                     |  |  |  |
| 0        | INICIO |                                                                                                                                        | 06/06/2024  |                                       |                                                                                     |  |  |  |
| DISTRIB. |        | ESTE DOCUMENTO ES DE PROPIEDAD DE SPIRAX SARCO PERU S.A.C., SIENDO PROHIBIDA SU REPRODUCCION O DIVULGACION SIN SU PREVIA AUTORIZACION. |             |                                       |                                                                                     |  |  |  |